

ECO211: Microeconomics I

Application of IE and SE on the labour market

Question

- Uber is considering whether to increase the hourly wage of its workers. A company executive claims that this is sure to increase the number of hours that drivers choose to work.
- Is this claim correct?
- Using our previous analysis of IE and SE on the labour market, we can write the budget constraint of a worker as

$$\frac{y}{w} + L = 24.$$

- An increase in w makes consumption (y) relatively cheap. Equivalently, it makes leisure relatively expensive. By the SE, this increases y and decreases L . A decrease in L means an increase in hours of work.
- By the IE (assuming both leisure and consumption are normal goods), both y and L should increase.
- Combining the SE and IE effects, the overall effect on hours of work is ambiguous.